Advanced Empirical Finance: Topics and Data Science

Estimation uncertainty

Stefan Voigt

University of Copenhagen and Danish Finance Institute (DFI)

Spring 2027

Today

- Backtesting a portfolio strategy
- Plug-in weights and their instability
- Restrictions and the equal-weighted portfolio

Backtesting a portfolio strategy

TBD

Plug-in weights and their instability

TBD

Restrictions and the equal-weighted portfolio

TBD

Before the next lecture

- **Exercise 2:** Mean-variance optimization
- **Read:** Ledoit & Wolf (2004); Jorion (1986)